Brazil Macro Monthly

Activity cools, but Copom remains cautious

- Geopolitical tensions and political noise across several countries - especially in the United States - marked 2025. Even so, the global economy showed resilience. We see heightened risks ahead, particularly due to fiscal deterioration in developed economies.
- The government is working to secure approval of the 2026 budget bill amid rising institutional tensions among the branches of power. At the same time, attention remains on President Lula's approval ratings, who seeks to strengthen his narrative and electoral positioning.
- Economic activity has been cooling, in line with contractionary monetary policy. That said, we have raised our projection for 2025 GDP growth, from 2.1% to 2.3%, due to upward revisions in Agriculture & Livestock data earlier this year. We kept our forecast of 1.7% for 2026 GDP.
- We anticipate that the government will meet the primary balance target this year and is close to reaching the lower bound of the primary target range next year. Despite that, public debt should continue to rise, reaching 83.7% of GDP in 2026.
- Our FX forecast remains at 5.30 reais per dollar for 2025 YE and 5.50 for 2026 YE. Strong exports and FDI should offset high levels of imports and primary income deficit in external accounts. However, the expected reacceleration in domestic demand is a risk for next year.
- Prices of food and industrialized goods continue to slow down. We have reduced our projection for the 2025 IPCA inflation from 4.5% to 4.3%. For 2026, we continue to project 4.2%.
- Slowing economic activity and benign current inflation suggest that monetary policy may become less contractionary. We maintain our projection that the Copom will begin a gradual monetary easing cycle in March. However, we do not rule out an earlier start in January.

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XP Forecasts

	2020	2021	2022	2023	2024	2025 (F) Prior	2025 (F) Current		2026 (F) Prior	2026 (F) Current	
Economic Activity											
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,295	2,304	▲	2,412	2,505	▲
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,672	12,719	▲	13,508	13,530	▲
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.1	2.3	▲	1.7	1.7	▬
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	6.0	6.0	▬	6.3	6.3	▬
Inflation											
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.5	4.3	▼	4.2	4.2	▬
Monetary Policy											
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.0	15.0	▬	12.0	12.0	▬
Public Finances											
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.4	-0.4	▼	-0.4	-0.5	▼
Primary balance for target calculation (% GDP)*	–	–	–	–	-0.1	-0.1	-0.1	▼	-0.1	-0.1	▼
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.4	▲	-0.5	-0.5	▲
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.0	-8.2	▼	-8.2	-8.4	▼
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	78.9	78.8	▼	83.6	83.7	▲
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	65.0	65.4	▲	69.3	69.9	▲
External Accounts and FX											
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.30	5.30	▬	5.50	5.50	▬
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	58.3	58.3	▬	60.4	60.4	▬
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	350.6	351.3	▲	357.6	357.6	▬
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	292.3	293.0	▲	297.2	297.2	▬
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-73.7	-73.7	▬	-67.5	-67.5	▬
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.2	-3.2	▲	-2.8	-2.7	▲
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	75.6	79.5	▲	70.0	75.0	▲
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.3	3.5	▲	2.9	3.0	▲

* Excludes part of court-ordered payments and other expenditures

Source: IBGE, BCB, BBG, XP

Foreword – Calm before the volatility?

The Brazilian economy had a good performance in 2025. GDP grew around 2.0%, in line with expectations, cooling compared to the previous years. The unemployment rate nears an all-time low. IPCA Inflation should end the year much lower than expected, mainly due to BRL appreciation. Our 2025 IPCA forecast in January was 6.1%. Now, we believe it will close at 4.3%.

Solid economic activity kept tax revenues at a good clip, enabling the government to meet its fiscal target. Exports grew briskly, even amid higher tariffs from the US, which prevented the current account deficit from deteriorating further (after having widened considerably in 2024).

Those sound macro indicators, along with a benign global environment, boosted Brazilian asset prices in recent months. Given the aforementioned better inflation dynamics, we believe the central bank will find room to reduce the Selic rate next year.

Beneath the surface, however, imbalances persist. Disinflation was uneven, concentrated in durable goods and foodstuff. Services and non-durable inflation remain at high levels, mirroring the tight spare capacity of the economy. Looking ahead, we see limited room for further disinflation, considering that i) the government has announced several growth-supportive measures for 2026, and ii) the global environment may not favor another round of appreciation in EM currencies (see Global Backdrop session below).

On the fiscal front, meeting the targets is proving not enough to stabilize the public debt-to-GDP ratio. Even with revenue at record-high levels, the primary deficit remains close to 0.5% of GDP. Adding financial expenditures, the nominal deficit will reach around 8.0% at YE 2025, among the highest in the world.

Thus, we believe that more important than the macroeconomic results in 2026 – which will probably continue to be relatively positive – will be the perspective of macroeconomic reforms that will be conducted by the election winner.

Throughout 2026, the short-term calm may give way to market volatility as local drivers become more relevant than global forces.

Global backdrop – From tail to (possibly) headwind

Caio Megale

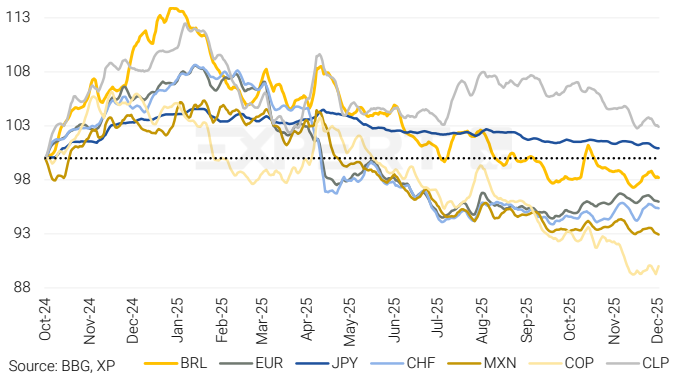
So far so good for EMs. This year was marked by heightened geopolitical tensions and noisy politics around the world – particularly from the US. But overall economic performance was relatively sound. The IMF forecasts that global GDP should grow 3.2% this year, roughly the same as in 2024 (3.3%). The risks of recession in the US (due to tariffs) or in China (housing bubble, over-indebted consumers) did not materialize. At the same time, inflation remained under control, allowing central banks to cut interest rates, though at different pace and timing (Brazil was an exception).

Uncertainty ahead. Looking ahead, it is difficult to see the global economy fueling a new market rally - for two reasons. First, fiscal deterioration in G3 countries should limit the room for further monetary stimulus. Even more relevant than the short-term policy rates, long-term yields will probably remain elevated, reflecting the major economies' substantial financial needs (see chart). Second, the political and geopolitical environment should remain noisy and volatile. US President Trump's erratic policies tend to keep uncertainty elevated, curbing long-term investment in several sectors. The war in Ukraine seems still far from a permanent solution, with direct and indirect consequences on Europe and China.

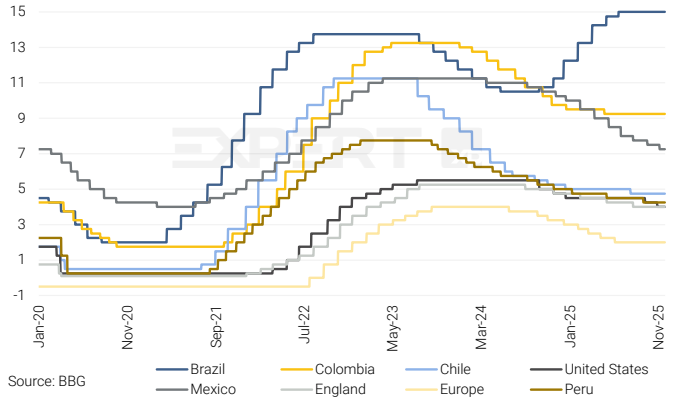
Limited room for interest rate cuts in the U.S. Economic activity and the labor market are cooling in the US, which should open room for some additional rate cuts by the Federal Reserve. But inflation remains stubbornly above the target, and the technology sector should prevent the economy from decelerating much.

China and commodity prices remain a risk. The Chinese economy continues to lose steam, mainly due to weak domestic consumption. If the government fails to stabilize growth, it could negatively impact commodity prices and hurt Brazil and other commodity exporters. Oil prices require particular attention, especially if the U.S. government succeeds in resolving the conflict in Ukraine.

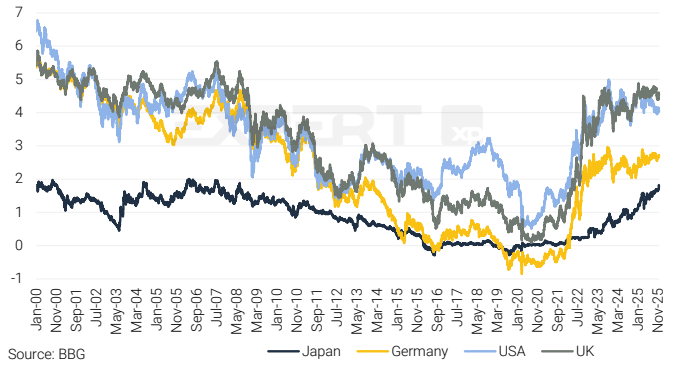
Latam currencies benefited from favorable global enviroment
Oct24 = 100 (Drop = appreciation)



Brazil decoupled from the global monetary cycle
Policy Rate (%)



Higher yields in Developed Markets represents a headwind for EM asset prices
10Y interest rate (%)



Lower commodity prices is a risk for Latam
CRB Index

BRAZIL – Activity cools, but Copom remains cautious

Political environment – Amid heightened tensions among the branches of power, the administration seeks to secure approval of the 2026 Budget Bill

Paulo Gama and XP Politics

December is expected to be marked by the administration's efforts to secure approval of the 2026 Budget Bill. This takes place against a backdrop of deepening institutional tension among the branches of power. It also occurs at a moment when attention remains focused on President Lula's approval ratings.

Brazil's inclusion in the tariff package imposed by President Donald Trump had initially created an opportunity for the opposition. Their strategy to capitalize on the issue, however, was unsuccessful. Following this episode, President Lula regained the positive approval levels seen last year. Several factors contributed to this rebound, including: (i) the easing of inflation, (ii) progress on the Income Tax reform proposal – a structural tax reform under discussion in Congress, and (iii) the absence of a strong opposition figure since Tarcísio de Freitas stepped back from the national political scene.

That upward trend was interrupted after the political fallout from a police operation conducted in Rio de Janeiro. The event had a negative impact on the President. The key question now is whether Lula's approval ratings will resume their upward trajectory. Such a rebound would signal greater resilience among voters. Alternatively, the opposition may succeed in keeping the issue alive in the public arena over the coming weeks.

During this period, the administration has worked to reintroduce topics that reinforce its narrative and electoral positioning. Lula will benefit from the approval of the Income Tax exemption for individuals earning up to BRL 5,000. This was highlighted in his national address in late November. The measure is expected to anchor the government's campaign next year.

In Congress, December will be shaped by developments in the ongoing tensions among the branches of power. Several recent episodes illustrate this dynamic. The Speaker of the Chamber of Deputies, Hugo Motta, has broken with the leader of the Workers' Party (PT) in the Chamber. The President of the Senate, Davi Alcolumbre, has expressed dissatisfaction with the nomination of Jorge Messias to the Supreme Federal Court (STF). More recently, Justice Gilmar Mendes of the STF ruled that only the Office of the Prosecutor-General (PGR –

Procuradoria-Geral da República, in Portuguese) may request the impeachment of Supreme Court justices.

Amid this tense environment, the opposition sees a renewed window of opportunity. It aims to intensify pressure around proposals such as the amnesty for individuals involved in the events of January 8th. The debate gains further relevance as former president Jair Bolsonaro is currently serving his sentence at the Federal Police Superintendency in Brasília. This issue could strengthen the strategy of Bolsonaro-aligned groups that wish to preserve the former president's influence over the 2026 elections. It may also delay a decision regarding whom he will endorse for next year's race.

Against this backdrop, the administration is focusing on the revenue-raising measures still under review in Congress. These proposals are essential for generating an additional BRL 30 billion in revenue to ensure meeting the formal primary balance target in 2026.

The first measure expands taxation on online betting platforms, raises the Income Tax rate on interest on equity (JCP – juros sobre capital próprio, a Brazilian mechanism for remunerating shareholders), and increases the Social Contribution on Net Profit (CSLL) applied to fintechs. The bill is sponsored by Senator Renan Calheiros. It also includes a provision extending the deadline for distributing tax-exempt dividends until April 2026. This stands in contrast to the deadline set under the new Income Tax law, which is December 2025. The Senate has approved the proposal, but the Chamber of Deputies is expected to pose greater resistance, particularly regarding higher taxes on betting platforms and fintechs.

The package also includes the bill establishing a linear 10% reduction in tax expenditures. The revenue generated from this measure is crucial for the government's plan to meet the 2026 primary surplus target. However, the proposal remains far from a consensus. The administration continues to negotiate with congressional leadership to refine the text.

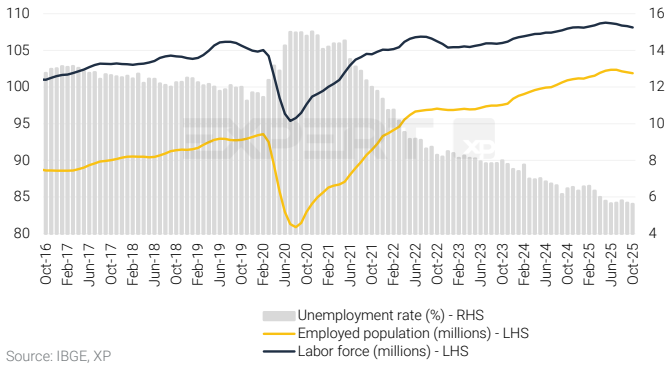
Despite the challenges, the government does not intend to revise the fiscal target. The use of additional regulatory measures (infralegal measures — i.e., measures implemented without legislative approval) to close the fiscal gap remains a possibility.

Activity – Stimulus measures should accelerate GDP in the coming quarters

Rodolfo Margato

The Brazilian economy has lost momentum this semester. Total GDP increased by 0.1% QoQ in Q3, a tad below

Further signs of stabilization in the labor market, although the unemployment rate remains at all-time lows
SAS



Source: IBGE, XP

expectations (XP and Market: 0.2%). This outcome followed an average growth of 0.9% QoQ in the two previous readings. Disaggregated data brought mixed signals. On the one hand, sectors more sensitive to the economic cycle, such as manufacturing industry and retail, have been weakening amid restrictive interest rates and higher indebtedness of households and firms. On the other hand, sectors linked to commodities (less sensitive to local economic policy), such as agriculture and the extractive industry, have recorded strong growth year-to-date. Domestic demand advanced moderately in the last quarter, with household consumption virtually stable.

We have raised our projection for 2025 GDP growth, from 2.1% to 2.3%. The release of the Q3 GDP figures brought upward revisions to the data series, especially regarding the performance of Agriculture and Livestock in the first half of this year. The incorporation of these revisions has lifted our forecasts for annual GDP, despite the subtle downward surprise in Q3. We expect a 0.2% QoQ gain for Q4 GDP. Coincident indicators for industry and retail, for example, suggest a moderate increase in October and November. If our expectation proves correct, the statistical carryover effect for 2026 GDP growth will be slightly positive (0.3 pp).

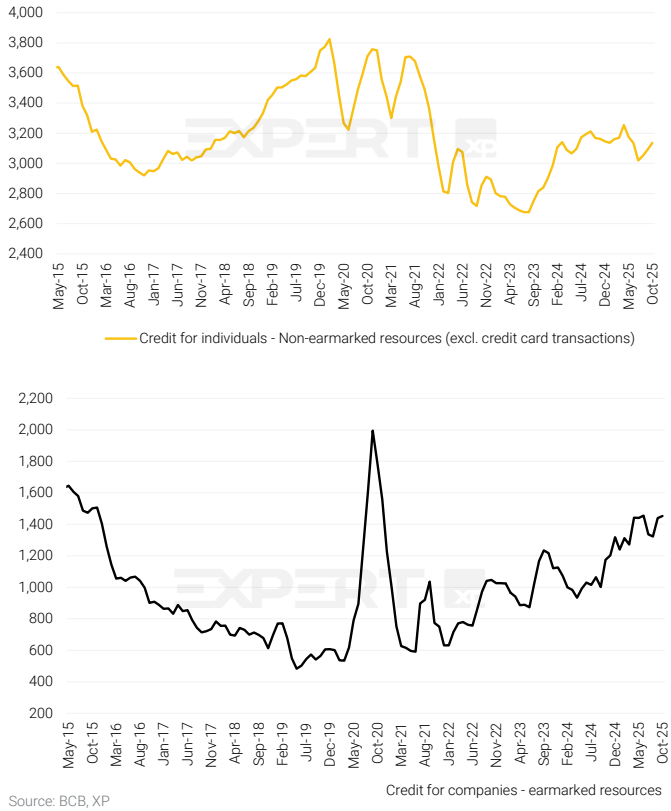
Slow adjustment in the labor market. The employed population has fallen (moderately) in recent months, reflecting weaker economic growth. Nonetheless, unemployment remains at an all-time low (between 5.5% and 6.0%), and aggregate real labor income continues to rise consistently (expected rise above 5.0% this year). The drop in the labor force participation rate and signs of labor supply constraints are drawing increased attention. In our view, the tight labor market scenario is unlikely to be reversed in the short term.

GDP acceleration next year amid income and credit impulses. We forecast an average quarterly growth of 0.5% QoQ in 2026 (see chart). As we emphasized for several months, stimulus measures should add 0.8 pp to overall GDP growth next year. This scenario considers: (i) the effects of the Personal Income Tax reform; (ii) the acceleration of new payroll deductible credit concessions for the private sector (replacing more expensive credit lines); (iii) increased disposable income for low-income households through the "Gás do Povo" and "Luz do Povo" programs; (iv) government programs aimed at the construction sector, such as "Novo Crédito Imobiliário" and "Reforma Casa Brasil"; and (v) increased public investment, mainly driven by State governments.

Our projection of 1.7% for 2026 GDP growth is biased upwards. In addition to the measures listed above, quasi-fiscal impulses may also contribute to stronger GDP growth next year, with emphasis on earmarked credit concessions to firms.

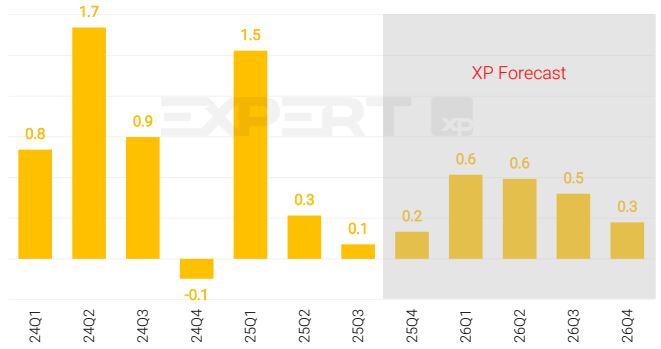
Economic growth close to potential this year and next. The output gap — the difference between actual GDP and potential

Credit market is showing signs of resilience. Concessions to companies with earmarked resources remain on the rise
SAS Real daily average (BRL Mi). 3MMA.



Source: BCB, XP

Stimulus measures should spur GDP growth in 2026
Total GDP. QoQ SAS (%)



Source: IBGE, XP

XP Forecast (%)

GDP Breakdown	2023	2024	2025 (F)	2026 (F)
Agriculture & Livestock	16.3	-3.2	11.0	1.5
Industry	1.7	3.3	1.6	1.3
Services	2.8	3.7	1.8	1.8
Total GDP	**3.2**	**3.4**	**2.3**	**1.7**
Household Consumption	3.2	4.8	1.4	1.9
Government Consumption	3.8	1.9	1.7	1.6
Gross Fixed Capital Formation	-3.0	7.3	4.0	1.4
Exports	8.9	2.9	4.7	2.8
Imports (-)	-1.2	14.7	5.0	2.1

Source: IBGE, XP

GDP — is slightly below 1.0 pp, according to our estimates. We believe it should not resume its neutral level before 2027.

Public finances – Short-term improvement conceals risks

Tiago Sbardelotto

October results bring the government closer to meeting the 2025 target. Tax revenue recovered in October, rising 4.7% in real terms. Although this result does not alter the short-term deceleration trend, it brings the government closer to meeting this year's target. On the spending side, pressure steams from the execution of discretionary expenditures, as mandatory expenditures are cooling off - partly due to the increase in the backlog of Social Security benefits applications. **Our latest projection indicates a total deficit of BRL 55.9 billion (0.4% of GDP) and a deficit for target compliance purposes of BRL 10.4 billion (0.1% of GDP) — closer, therefore, to the midpoint of the primary balance target (zero).**

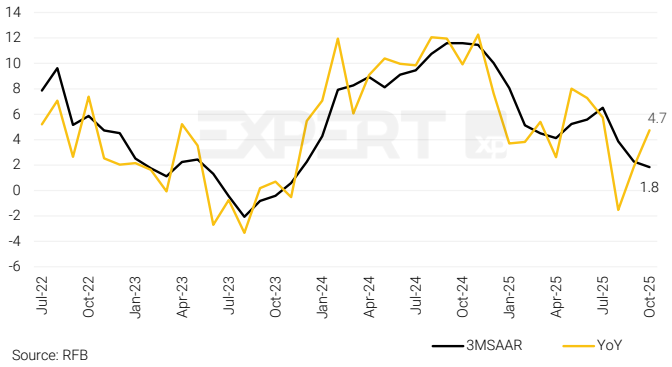
Budget execution should face fewer constraints in 2026. Regarding the primary balance target, recently approved limits on tax compensation (Law No. 15,265/25) allied to the possibility of aiming the lower bound of the target range reduce the pressure for spending cuts. **We now expect a total deficit of BRL 62.6 billion (0.5% of GDP) and a deficit for the purposes of measuring the target of BRL 12.8 billion (0.1% of GDP).** This means that the government would still need additional revenue or spending cuts of BRL 12.8 billion to reach the lower bound of the target range, a relatively small fiscal effort.

Lower pressure on the spending side as well. The increase of BRL 13.4 billion in the spending limit stemming from PEC 66/2023 and the approval of spending-reduction measures — including changes to temporary social security benefits and the inclusion of the high school students benefit program ("pé de meia") to the minimum education budget significantly reduces the likelihood of new spending blocks. **In fact, our estimates indicate room for increased discretionary expenditures if the government manages to boost revenue.**

Nonetheless, fiscal risks remain on the radar for next year. On the revenue side, the greatest risk lies in a more significant slowdown in economic activity and lower oil prices. On the expenditure side, risks lie mostly on social security benefits and BPC/LOAS, given that the backlog of benefit applications has reached an all-time high – reversing it would have full impact in the next fiscal year.

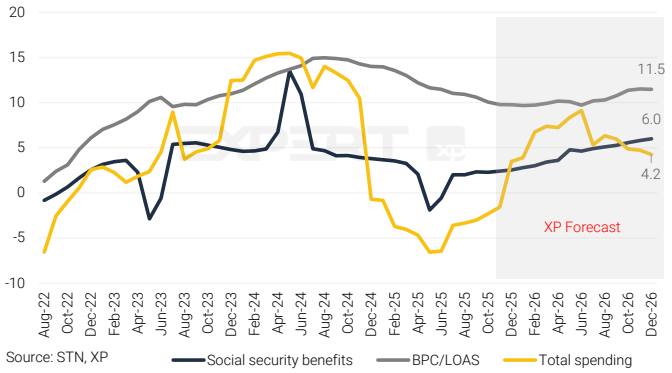
Regional governments and SOEs show deterioration. Results accumulated through October indicate worsening performance for state governments, driven by weaker revenue and faster spending growth during the electoral cycle. The deficit of state-owned enterprises (SOEs) continues to increase, led by federal SOEs, whose negative results more than doubled in one year. **We**

Tax collection shows recovery at the margin, but the slowdown trend remains
Change in tax revenue (%)



Source: RFB

Expenditure growth will remain strong in 2026, driven by welfare benefits
12M Acc. at Dec-26 prices (%)



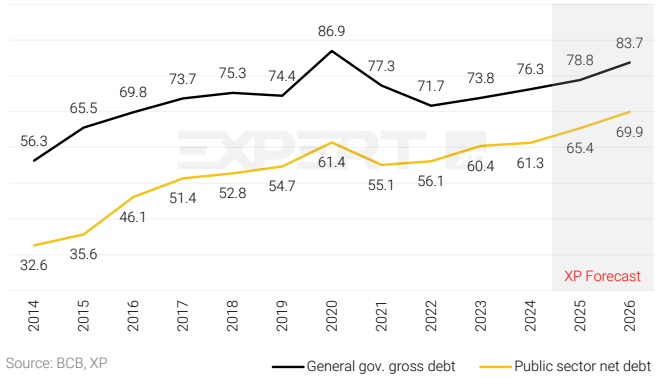
Source: STN, XP

estimate a deficit of BRL 54.0 billion (0.4% of GDP) in 2025 and BRL 63.7 billion (0.5% of GDP) in 2026 for the consolidated public sector (Federal government, regional governments, and SOEs).

No changes to public debt projection. We estimate that the general government gross debt (GGGD) will reach 78.8% of GDP and 83.7% of GDP at the end of 2025 and 2026, respectively. In turn, net public sector debt (NPSD) is expected to end the year at 65.4% and next year at 69.9% of GDP. The stronger growth expected for 2026 steams from a combination of higher implicit debt costs resulting from interest rates and higher subsidies.

Public accounts do not show a significant improvement in the medium-term. Primary balances should not show considerable progress in the coming years — our latest projection indicates no primary surplus until 2029 at the earliest, assuming the current fiscal framework is maintained, which highly unlikely. Debt will continue to rise throughout this period and surpass 90% of GDP by the end of the decade. We assess that the public accounts remain on a fragile footing, with an elevated risk of adverse effects on inflation, interest rates, and economic activity should the external environment deteriorate further. In our view, the recent improvement in fiscal risk perception does not reflect a structural improvement, rather a temporary relief that could be halted at any time.

Meeting the primary balance target should not prevent public debt to keep rising
(% of GDP)



Source: BCB, XP

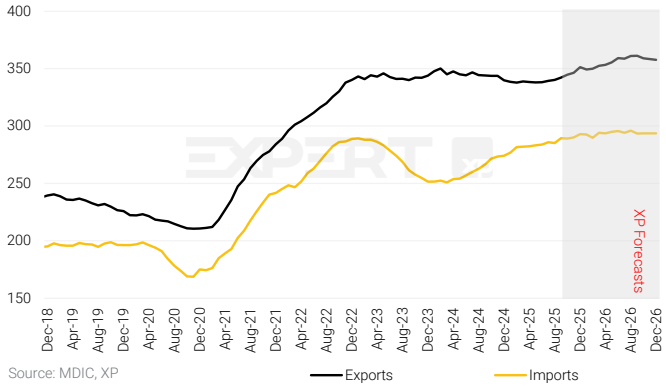
External Accounts – Strong export and solid FDI inflows offset high imports and primary income outflows

Luíza Pinese

Trade balance should remain positive. Key drivers of exports include: (i) soybeans, which are supported by the record grain harvest; (ii) iron ore, for which both prices and shipped volumes are increasing; (iii) meats, particularly beef, which are benefiting from diversified international demand; and (iv) elevated coffee prices. On the import side, volumes remain historically high. Fuel and lubricant imports stood out with a positive surprise in November. **However, this was offset by the upward revision of export projections following the removal of part of Trump's tariffs at the end of November. Our forecast for this year's trade surplus remains at USD 67.0 billion (MDIC methodology).**

We expect exports to increase in 2026. A record grain harvest and the opening of two new port terminals (Santos and the resumed operations in Barcarena) will expand soybean export capacity. Meat exports should continue to grow, albeit at a more moderate pace. We also anticipate higher export volumes of oil and iron ore, supported by increased production. Regarding imports, purchases of oil platforms should decline, though the strength of domestic activity will likely sustain

Exports and imports will remain high in 2026
12M (USD Bn).



Source: MDIC, XP

overall import demand. **For now, we maintain our 2026 trade surplus projection at USD 69.0 billion (MDIC methodology), with a downward bias stemming from stronger-than-expected economic activity**.

The strong export performance in the second half of this year has offered some relief to the current account deficit. Nevertheless, the broader balance-of-payments picture still warrants caution. The Central Bank's recent release of the crypto assets account indicates that roughly 90% of outflows correspond to stablecoins, suggesting that the underlying current account deficit may be under more pressure than the official data currently reflects. Moreover, the anticipated increase in domestic demand next year will likely put additional pressure on imports, profit remittances, and other income outflows. **We project a current account deficit of USD 73.7 billion (3.2% of GDP) for 2025 and USD 67.5 billion (2.7% of GDP) for 2026.**

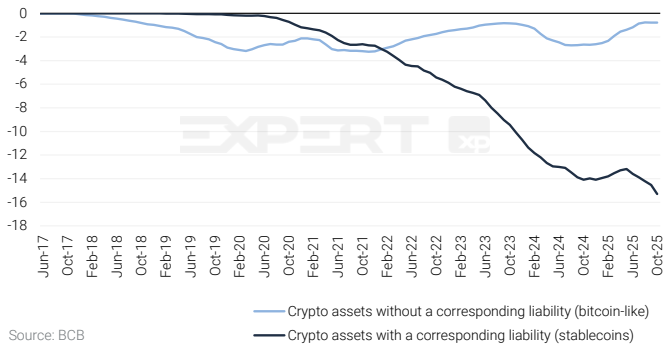
FDI inflows recorded another strong outcome in October. Despite the geopolitical and trade-related uncertainties in 2025, FDI has remained robust, driven mainly by equity capital inflows. Transactions exceeding USD 1.0 billion (large-scale operations) totaled USD 3.2 billion in October, accounting for more than half of the USD 5.9 billion registered year-to-date. Notably, no transactions of this magnitude occurred in the preceding year. **Incorporating the October surprise, we revised our projection for 2025 FDI inflows from USD 75.6 billion (3.3% of GDP) to USD 79.6 billion (3.5% of GDP). For 2026, we adjusted our forecast from USD 70.0 billion (2.9% of GDP) to USD 75.0 billion (3.0% of GDP),** which is essentially stable relative to 2025 when excluding one-off operations above USD 1.0 billion.

We maintain our exchange-rate projections at 5.30 reais per dollar for 2025 and 5.50 for 2026.

For the current year, our projection remains at 5.30 reais per dollar. The main risk to this forecast is the introduction of taxation on dividends remitted abroad. As approved dividend distributions through December 31, 2025 will remain exempt, there will be an incentive for firms to anticipate distributions before the new regime takes full effect. According to estimates by the Macro Strategy team, companies could bring forward between USD 18.9 billion and USD 27.5 billion, potentially exerting pressure on the exchange rate by the end of the year. Nonetheless, the actual outflows could be spread over a longer period as the distribution of exempt dividends can extend until 2028.

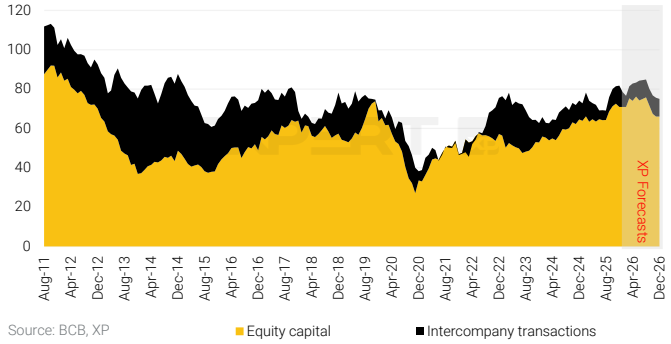
For 2026, our projection remains 5.50 reais per dollar, consistent with the inflation differential and adjustments to the risk premium. Externally, geopolitical tensions persist. In addition, we see limited room for the Fed to cut rates, which may put additional pressure on EM currencies. Domestically, the deterioration of the external accounts and fiscal and

Stablecoins account for almost all crypto asset transactions recorded in the Balance of Payments
Net expenses on crypto assets. 12M (USD Bn)



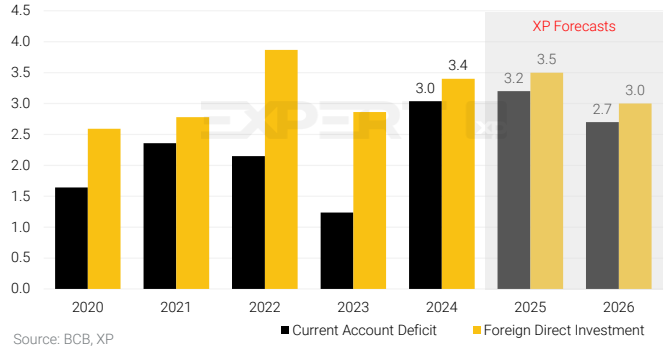
Source: BCB

Equity capital inflows should keep direct investment at a robust level next year
12M (USD Bn)



Source: BCB, XP

Solid FDI inflows have offset current account defict, but risks remain
(% of GDP)



Source: BCB, XP

political uncertainties may also bring greater volatility to the BRL.

Inflation – Food and manufactured goods prices continue to decelerate

Alexandre Maluf

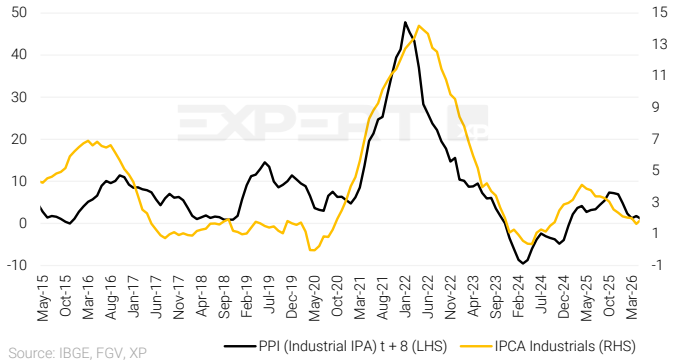
The November IPCA-15 once again revealed a benign short-term price dynamic. We highlight another round of deflation in both food and industrial goods, reflecting the dynamics seen in wholesale price indices (IPAs). The average of core inflation measures fell to 3.4% in seasonally adjusted and annualized terms (3-M SAAR), the lowest level of the year. **As price surveys continue to reflect this benign pattern, we have revised our 2025 IPCA forecast downward, from 4.5% to 4.3%.**

Industrialized goods prices should remain well-behaved. The producer price index, measured by the FGV-IPA, has moved out of negative territory but remains at a depressed level. This suggests a scenario of moderate increases in consumer prices for industrial goods in the coming months, especially for durable and semi-durable goods. For 2026, we continue to assume an exchange rate of 5.50 reais per dollar, international oil prices around current levels, and a still-disinflationary environment for commodities, reflecting the weaker momentum of the Chinese economy. In this context, **we project increases of 2.3% for the group in 2025 and 2.6% in 2026.**

Food at home prices were historically low in 2025 but should accelerate in 2026. The CRB food index in international markets fell 17% (in BRL) this semester, explaining much of the food disinflation observed this year. Additionally, mild weather and rising productivity in the agricultural sector have boosted the output of fresh products, leading to a decrease in prices in the short term. We anticipate that this benign dynamic will persist into early 2026, bolstered by declines in certain products which prices surged in recent quarters, such as cocoa and coffee. Conversely, we project increases in protein prices, especially from the second half onward, as the agricultural and livestock cycle begins to turn. However, this movement should be balanced by an abundant supply of chicken meat and eggs. Moreover, fresh food prices may accelerate in the final quarter if projections for the El Niño phenomenon are confirmed — something not fully incorporated into our baseline scenario. **We project food-at-home inflation at 1.5% in 2025 and 4.5% in 2026.**

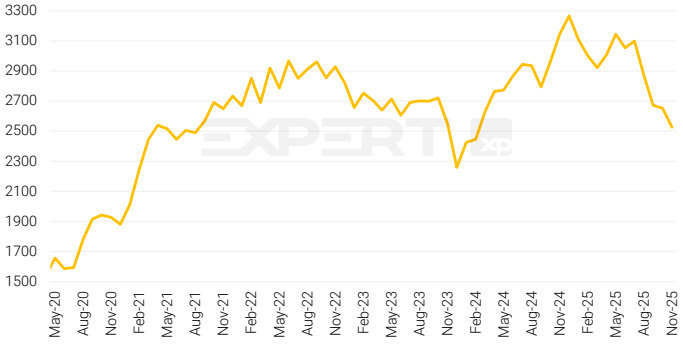
Service prices are moderating at the margin, but we see limited room for significant deceleration. Core service inflation has eased in recent months, reversing the upward trend seen in the first half of the year. Specifically, vehicle insurance prices fell by 1.5% in November, marking the third consecutive decline, which accounted for much of the improvement in the core metric at the margin. Conversely, prices of labor-intensive

Recent deceleration in Industrial PPI suggests moderate inflation ahead
12M (%)



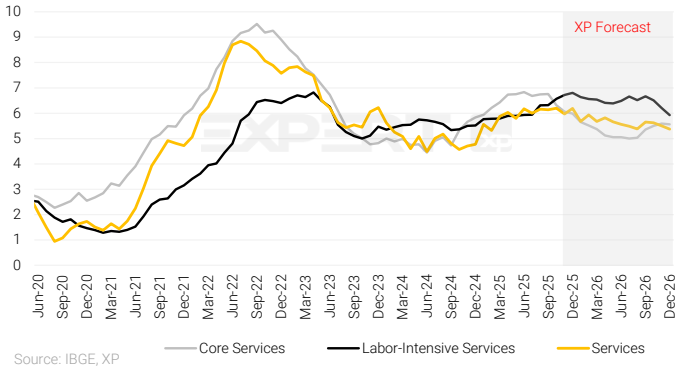
Source: IBGE, FGV, XP

Foodstuff prices dropped by 17% helping to keep food inflation subdued
CRB Foodstuff (BRL)



Source: IBGE, XP

Services inflation gauges remain at high levels, driven by tight labor market figures
IPCA-15 12M (%)



Source: IBGE, XP

services continue to rise, accelerating at the margin, reflecting a still-overheated labor market. Looking ahead, we believe there is room for some moderation in service inflation, particularly due to the recent decline in inflation expectations. However, we anticipate that service inflation will continue to exceed the 3.0% target, as we see no clear inflection in labor-market conditions and no further anchoring of expectations. **We project services inflation to end 2025 at 6.2% and 2026 at 5.3%.**

A few new developments regarding administered prices. As expected, Aneel signaled a "yellow tariff flag" for electricity prices in December. For the end of 2026, we also assume a "yellow flag," although a wetter fourth quarter (El Niño) in the Center-South region could lead to the activation of a "green flag," which would lower the annual IPCA by 0.1 p.p. As for fuels, we maintain our baseline scenario with no price adjustments, although the risks remain to the downside.

All considered, we maintain our 4.2% IPCA inflation forecast for 2026 — above the target but within the upper limit of 4.5%.

IPCA Groups 12M (%)

	2023	2024	2025 (F)	2026 (F)
Monitored prices	9.1	4.7	5.4	3.7
Market-set prices	3.1	4.9	4.0	4.3
Food at home	-0.5	8.2	1.5	4.5
Industrials	1.1	2.9	2.3	2.6
Services	6.2	4.8	6.2	5.3
IPCA headline	**4.6**	**4.8**	**4.3**	**4.2**

Source: IBGE, XP

Monetary Policy – It's not time yet, but it is getting there

Caio Megale

The inflation dynamics have been better than expected. Stronger BRL, weaker economic activity, cheaper imported goods, and falling foodstuff prices have been pushing inflation down. Short- and medium-term inflation expectations have retreated noticeably.

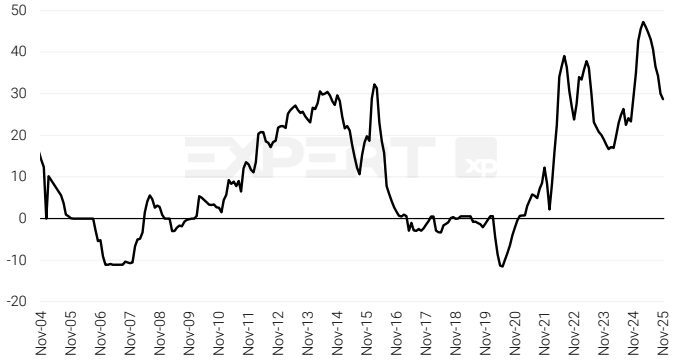
The Copom seems to be more confident that its strategy is working. In the minutes of its last meeting, the committee spilled much ink on signs that the economy is moderating and on the improvement of inflation expectations. The wording was cautious, though, still stressing the need for "a contractionary monetary policy for a very prolonged period".

We see reasons for the Copom to remain conservative for a little longer. Fiscal and quasi-fiscal stimulus measures should boost domestic demand, increase inflation, and widen the current account deficit next year. The labor market remains tight, and inflationary expectations are still well above the target (see chart). Therefore, under a risk-balance approach, it seems wise for the Copom to wait longer before starting a monetary easing cycle, thus ensuring the continuity of the disinflation process.

We continue to see the Copom starting an easing cycle in March. Odds are tilted to an earlier beginning, in January. We foresee six consecutive 50-bp cuts until the Selic rate reaches 12.00%. In real terms, the policy rate would be around 7.5% –

Medium-term inflation expectations have eased, but remain well above the target

IPCA forecast (Focus survey) 1Y / 1Y forward (% of the target)



Source: BCB, XP

above what we consider the neutral level - reflecting the fiscal challenges expected for the next presidential term.

Fiscal reforms are key to additional rate cuts. For the Selic rate to get closer to its neutral level – around 5.5% in real terms, according to our estimates – reforms will be required to slow the growth rate of public expenditures. Without such measures, the rise in public debt could revive the debate over fiscal dominance, as occurred at the end of last year.

XP Forecasts

	2020	2021	2022	2023	2024	2025 (F) Prior	2025 (F) Current		2026 (F) Prior	2026 (F) Current	
Economic Activity											
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,295	2,304	▲	2,412	2,505	▲
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,672	12,719	▲	13,508	13,530	▲
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.1	2.3	▲	1.7	1.7	▬
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	6.0	6.0	▬	6.3	6.3	▬
Inflation											
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.5	4.3	▼	4.2	4.2	▬
Monetary Policy											
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.0	15.0	▬	12.0	12.0	▬
Public Finances											
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.4	-0.4	▼	-0.4	-0.5	▼
Primary balance for target calculation (% GDP)*	--	--	--	--	-0.1	-0.1	-0.1	▼	-0.1	-0.1	▼
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.4	▲	-0.5	-0.5	▲
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.0	-8.2	▼	-8.2	-8.4	▼
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	78.9	78.8	▼	83.6	83.7	▲
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	65.0	65.4	▲	69.3	69.9	▲
External Accounts and FX											
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.30	5.30	▬	5.50	5.50	▬
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	58.3	58.3	▬	60.4	60.4	▬
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	350.6	351.3	▲	357.6	357.6	▬
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	292.3	293.0	▲	297.2	297.2	▬
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-73.7	-73.7	▬	-67.5	-67.5	▬
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.2	-3.2	▲	-2.8	-2.7	▲
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	75.6	79.5	▲	70.0	75.0	▲
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.3	3.5	▲	2.9	3.0	▲

* Excludes part of court-ordered payments and other expenditures

Source: IBGE, BCB, BBG, XP

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